

TAB 13



Board of Education Report

File #: Rep-062-22/23, **Version:** 1

Adoption of Resolution Declaring Emergency Conditions Exist at Los Angeles Unified Schools and Offices and Authorization to Execute Certain Contracts Without Advertising or Inviting Bids to Respond Effectively to Cyber Attack

September 13, 2022

Office of the Superintendent

Action Proposed:

The Board of Education (Board) take the following actions related to the emergency conditions created by a cyber-attack being experienced by the Los Angeles Unified School District (Los Angeles Unified or District) and the District's response thereto;

1. Adopt a Resolution, attached hereto, declaring emergency conditions exist throughout Los Angeles Unified schools and offices (collectively known as "District Sites") as a result of the cyber-attack being experienced.
2. Authorize, by unanimous vote, under the provisions of section 20113 of the California Public Contract Code the Superintendent and/or his designee(s) to enter into any and all contracts ("Emergency Contracts"), for a period of one calendar year, necessary for the procurement of materials, supplies, and professional services necessary to address the emergency conditions caused by the cyber-attack being experienced by the District, including costs associated with, the investigation, remediation, and response thereto, restoring, maintaining, designing, developing, replacing, safeguarding, and improving regular District operations, and ensuring the continuation of the delivery of public education, without advertising or inviting bids, and for any dollar amount necessary to respond to the emergency conditions at the District Sites. This includes, but is not limited to, the furnishing of safety/security systems, technology, networks, infrastructure, hardware, and software; professional services for assessment, auditing, training, advisory, and system development purposes, including for data management systems support cross-Divisional and operational efficiencies.
3. Authorize the Superintendent and/or his designee to take any and all actions necessary to give effect to the Emergency Contracts to help ensure the continuation of public education, and the safety and security of its data, networks and servers, and the students and staff at the District Sites who utilize and/or benefit, for a period of one calendar year.

The Superintendent shall provide updates to the Board on plans and actions taken associated with the authority authorized herein. These updates shall be provided on a quarterly basis at minimum.

Background:

On September 3, 2022, the District detected a cybersecurity incident, including a ransomware attack, impacting certain essential District information technology systems, networks, and data. Despite the attack, the District has continued operations at its District Sites, opening for school as scheduled following the Labor

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Day Holiday on Tuesday, September 6, 2022, without interruption. Nevertheless, the District continues to undertake significant efforts and expenses to investigate and remediate the threat, and to ensure that its systems are fully restored and that operations can continue. The requested delegation is necessary to ensure that the District has the emergency resources it requires to respond to the cyber-attack and to safely restore its systems and operations to continue providing the highest level of services to its students and the school community.

Expected Outcomes:

Staff anticipates that the Board will adopt the attached Resolution declaring that emergency conditions exist at District Sites. It is further anticipated it will authorize the Superintendent to take any and all actions necessary to procure and enter into Emergency Contracts to ensure the safe restoration, design, development, replacement, and/or improvement to its systems and operations, and to ensure public education continues to be provided to District students, which authorization shall be in place for a period of one calendar year.

Board Options and Consequences:

If the Board does not approve the proposed actions, staff will be unable to take immediate and necessary procurement actions to 1) immediately respond to the cyber-attack, (2) fully restore its systems and operations, and 3) ensure the delivery of public education is not impaired for the students at District Sites.

Policy Implications:

The proposed actions are consistent with Rules 1757 and 1758 of the Rules of the Board of Education.

Budget Impact:

There will be a budget impact, however the amount is unknown at this time.

Student Impact:

Ensures instructional and business continuity to provide students with learning environments that help them achieve their educational goals.

Equity Impact:

Not Applicable.

Issues and Analysis:

See attached Resolution.

Attachments:

Resolution by the Los Angeles Unified School District Board of Education Declaring Emergency Conditions Exist at Los Angeles Unified Schools and Offices and Authorization to Take Necessary Actions to Respond Effectively to the September 2022 Cyber Attack .

Informatives:

Not Applicable

Submitted:

09/09/22

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RESPECTFULLY SUBMITTED,


ALBERTO M. CARVALHO
Superintendent

APPROVED & PRESENTED BY:


MEGAN K. REILLY
Deputy Superintendent
Business Services and Operations

REVIEWED BY:


DEVORA NAVERA REED
General Counsel

☒ Approved as to form.

REVIEWED BY:


TONY ATIENZA
Director, Budget Services and Financial Planning

☒ Approved as to budget impact statement.

RESOLUTION OF THE LOS ANGELES UNIFIED SCHOOL DISTRICT BOARD OF EDUCATION
DECLARING EMERGENCY CONDITIONS EXIST AT LOS ANGELES UNIFIED SCHOOLS
AND OFFICES AND AUTHORIZATION TO TAKE NECESSARY ACTIONS RELATED TO THE
EXECUTION OF CERTAIN CONTRACTS WITHOUT ADVERTISING OR INVITING BIDS TO
RESPOND EFFECTIVELY TO THE SEPTEMBER 2022 CYBER ATTACK

WHEREAS, in September 2022, the Los Angeles Unified School District (Los Angeles Unified or District) detected unusual activity in its Information Technology systems, which after initial review, was confirmed as an external cyber attack on its Information Technology assets, which included a ransomware attack;

WHEREAS, the incident has and continues to cause significant disruption to Los Angeles Unified's information technology systems, networks and operations;

WHEREAS, despite the disruptions, classes and work resumed immediately after the Labor Day Holiday;

WHEREAS, working diligently with federal, state and local partners, including the Department of Education, the Federal Bureau of Investigation (FBI) and the Department of Homeland Security's Cybersecurity and Infrastructure Security Agency (CISA), the Los Angeles Unified is making progress toward full operational stability for several core information technology services;

WHEREAS, while Los Angeles Unified's ability to intercept the cyber attack by deactivating all its systems was the swift, decisive and prudent action to avoid a catastrophic breach, the recovery from the disruption has proven more challenging than initially anticipated;

WHEREAS, strict compliance with various procurement policies, statutes and regulations would prevent, hinder or delay appropriate actions to investigate, remediate, improve and respond to the cyber attack, and to ensure that its networks, systems and operations are fully restored, safeguarded, and strengthened;

WHEREAS, it is imperative for Los Angeles Unified to have the tools to ensure that it can fully respond to the cyber attack, restore its systems and operations, and continue to serve its students and school community;

WHEREAS, under California Public Contract Code Section 20113, in an emergency when any repairs, alterations, work, or improvement is necessary to any facility of public schools to permit the continuance of existing school classes, or to avoid danger to life or property, the board may, by unanimous vote, with the approval of the county superintendent of schools, do the following: make a contract in writing or otherwise on behalf the district for the performance of labor and furnishing of materials or supplies for the purpose without advertising for or inviting bid; and, notwithstanding section 20114;

NOW, THEREFORE BE IT RESOLVED, That the Board of Education of the Los Angeles Unified School District:

- (1) Determines that the circumstances described in the Resolution herein constitute an emergency condition;

- (2) By unanimous vote pursuant to section 20113 of the Public Contract Code and subject to approval by the Los Angeles County Superintendent of Schools, authorizes the execution of certain contracts related to the investigation, remediation, and response to the cyber attack, to enable the design, development, replacement, full restoration, and/or improvements to, systems, networks, and operations (“Emergency Contracts”), without advertising or inviting bids, and for any dollar amount necessary to respond to the emergency conditions at the District’s schools and offices (“District Sites”), for a period of one calendar year; and
- (3) Authorize the Superintendent and/or his designee to take any and all actions necessary to give effect to Emergency Contracts to help ensure the continuation of public education, and the and safety and security of its data, networks, and servers, and the students and staff at the District Sites who utilize and/or benefit, for a period of one calendar year.

PASSED AND ADOPTED by the Governing Board of the Los Angeles Unified School District at 333 South Beaudry Avenue, Los Angeles, California, on the 13th Day of September, 2022, by the following vote:

AYES: _____ NOES: _____ ABSENT: _____ ABSTENTIONS: _____

Kelly Gonez
Board President

(STATE OF CALIFORNIA) (SS. COUNTY OF LOS ANGELES)